# INTRODUCTION

As the developed world is in the process of greying and are heading for a crunch in the ‘working population’, nations with growing population in the working age-group see this as an opportunity to employ their surplus manpower in there nations. In case of India, the situation has been considered to be highly favourable by international as well as Indian experts. But these are mere aspirations. To reap real diridends, we need to provide the required ‘quality’ to the quantity of our population. We need to strengthen our human resource development capabilities keeping in mind the future requirements. Only then the dividend of demography will be in India’s favour.

The *Economic Survey 2012-13*, on the India’s prospects of garnering demographic dividend, says, “Policymakers are usually focused on short-run economic management issues. But the short run has to be a bridge to the long run. The central long-run question facing India is ‘Where will good jobs come from?’ Productive jobs are vital for growth. And a good job is the best form of inclusion. More than half our population depends on agriculture, but the experience of other countries suggests that the number of people dependent on agriculture will have to shrink for per capita incomes in agriculture to go up substantially. While industry is creating jobs, too many such jobs are low productivity non-contractual jobs in the unorganized sector, offering low incomes, little protection, and no benefits. Service jobs have relatively high productivity, but employment growth in services has been slow in recent years. India’s challenge is to create the conditions for faster growth of productive jobs outside agriculture, especially in organised manufacturing and services, besides improving productivity in agriculture. The benefit of rising to the challenge is decades of strong inclusive growth”.

## Optimism vs Pessimism

Experts with optimistic views are confident in India’s demographic dividend because of the fact that India’s dependency ratio, as measured by the share of the young and the elderly as a fraction of the population, will